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This is an early release draft of an IRS tax form, instructions, or publication, which the IRS is providing for your information. **Do not file draft forms.** We incorporate all significant changes to forms posted with this coversheet.

However, unexpected issues occasionally arise, or legislation is passed—in this case, we will post a new draft of the form to alert users that changes were made to the previously posted draft. Thus, there are never any changes to the last posted draft of the form and the final revision of the form. Forms and instructions are subject to OMB approval before they can be officially released, so we post drafts of them until they are approved. Drafts of instructions and publications usually have some additional changes before their final release. Early release drafts are posted at [IRS.gov/DraftForms](https://www.irs.gov/DraftForms) and remain there after the final release is posted at [IRS.gov/LatestForms](https://www.irs.gov/LatestForms). Also see [IRS.gov/Forms](https://www.irs.gov/Forms).

Most forms and publications have a page on IRS.gov: [IRS.gov/Form1040](https://www.irs.gov/Form1040) for Form 1040; [IRS.gov/Pub501](https://www.irs.gov/Pub501) for Pub. 501; [IRS.gov/W4](https://www.irs.gov/W4) for Form W-4; and [IRS.gov/ScheduleA](https://www.irs.gov/ScheduleA) for Schedule A (Form 1040), for example, and similarly for other forms, publications, and schedules for Form 1040. When typing in a link, type it into the address bar of your browser, not a Search box on IRS.gov.

If you wish, you can submit comments to the IRS about draft or final forms, instructions, or publications at [IRS.gov/FormsComments](https://www.irs.gov/FormsComments). Include "NTF" followed by the form or publication number (for example, "NTF1040", "NTFW4", "NTF501", etc.) in the body of the message to route your message properly. We cannot respond to all comments due to the high volume we receive and may not be able to consider many suggestions until the subsequent revision of the product, but we will review each "NTF" message.

If you have comments on reducing paperwork and respondent (filer) burden, with respect to draft or final forms, please respond to the relevant information collection through the Federal Register process; for more information, click [here](#).

2026



Instructions for Form 8936

Clean Vehicle Credits (and Schedule A (Form 8936), Clean Vehicle Credit Amount)

Section references are to the Internal Revenue Code unless otherwise noted.

Future Developments

For the latest information about developments related to Form 8936 and its instructions, such as legislation enacted after they were published, go to [IRS.gov/Form8936](https://www.irs.gov/Form8936).

What's New

Clean vehicle credit termination. Taxpayers may claim a clean vehicle credit for a vehicle placed in service after September 30, 2025, only if the vehicle was acquired on or before September 30, 2025.

Reminders

Clean vehicles acquired after September 30, 2025. Taxpayers cannot claim clean vehicle credits for new, previously owned, or commercial clean vehicles that they acquired after September 30, 2025. See [New Clean Vehicle Credit](#), [Previously Owned Clean Vehicle Credit](#), and [Qualified Commercial Clean Vehicle Credit](#), later.

For purposes of sections 25E, 30D, and 45W, a vehicle is "acquired" as of the date a written binding contract is entered into and a payment has been made. A payment includes a nominal down payment or a vehicle trade-in.

For general information on modifications to sections 25E, 30D, and 45W under P.L. 119-21, see [IRS.gov/EnergyCreditFAQs](https://www.irs.gov/EnergyCreditFAQs).

Vehicles placed in service beginning January 1, 2024. For vehicles placed in service after December 31, 2023, the seller must file the seller report through the IRS Energy Credits Online (ECO) portal available at [IRS.gov/credits-deductions/energy-credits-online](https://www.irs.gov/credits-deductions/energy-credits-online).

Transfer of new clean vehicle credit. For vehicles placed in service after 2023, you may be able to transfer the credit amount to the dealer at the time of sale and receive an immediate financial benefit in place of a tax credit claimed on your tax return. If you elect to transfer the credit, you must file Form 8936 and Schedule A (Form 8936) with your return for the tax year in which the vehicle was placed in service. For details, go to [IRS.gov/CleanVehicles](https://www.irs.gov/CleanVehicles).

Transfer of previously owned clean vehicle credit. For vehicles placed in service after 2023, you may be able to transfer the credit amount to the dealer at the time of sale and receive an immediate financial benefit in place of a tax credit claimed on your tax return. If you elect to transfer the credit, you must file Form 8936 and Schedule A (Form 8936) with your return for the tax year in which the vehicle was placed in service. For details, go to [IRS.gov/CleanVehicles](https://www.irs.gov/CleanVehicles).

General Instructions

Purpose of Form

Use Form 8936 and Schedule A (Form 8936) to figure the following credits for clean vehicles you placed in service during your tax year.

- New clean vehicle credit.
- Previously owned clean vehicle credit.
- Qualified commercial clean vehicle credit.

Caution: You must file Form 8936 and Schedule A (Form 8936) if you purchased a new or used clean vehicle from a registered dealer and reduced the amount you paid at the time of sale by transferring the credit to the dealer.

New Clean Vehicle Credit

Use Parts I, II, and III of Form 8936 to claim the credit for new clean vehicles. The credit is equal to the sum of the credit amounts figured for each new clean vehicle you placed in service during your tax year.

Use Parts I, II, and III of Schedule A (Form 8936) to figure the clean vehicle credit amount for each new clean vehicle you placed in service during your tax year.

The part of the credit attributable to business/investment use of a new clean vehicle is treated as a general business credit. Any part of the credit not attributable to business/investment use is treated as a personal credit.

Partnerships and S corporations must file this form to claim the credit. All other taxpayers are not required to complete or file this form if their only source for this credit is a partnership or S corporation. Instead, they can report this credit directly on line 1y in Part III of Form 3800, General Business Credit.

Caution: You cannot claim the new clean vehicle credit for any vehicle acquired after September 30, 2025. For rules determining when a vehicle is considered acquired, see [Clean vehicles acquired after September 30, 2025](#), earlier.

New clean vehicle defined. This is a new vehicle with at least four wheels placed in service after 2022 that:

- Is propelled to a significant extent by an electric motor that draws electricity from a battery that has a capacity of not less than 7 kilowatt hours and is capable of being recharged from an external source of electricity;
- Is manufactured primarily for use on public streets, roads, and highways;
- Has a gross vehicle weight rating (GVWR) of less than 14,000 pounds;
- Had its final assembly within North America;

- Has a manufacturer's suggested retail price of not more than \$55,000 (\$80,000 for a van, sport utility vehicle (SUV), or pickup truck); and
- Meets certain additional requirements discussed under [New Clean Vehicle Certification and Other Requirements](#), later.

Note: The battery that a new clean vehicle draws the significant portion of its electricity from must meet the critical mineral and battery component requirements in section 30D(e) for the calendar year the vehicle is placed in service, and it does not contain battery components manufactured or assembled by a Foreign Entity of Concern (FEOC).

Certain new qualified fuel cell motor vehicles (discussed next) may also be treated as new clean vehicles.

New qualified fuel cell motor vehicle. This is a new vehicle with at least four wheels placed in service after 2022 that:

- Is propelled by power derived from one or more cells that convert chemical energy directly into electricity by combining oxygen with hydrogen fuel and satisfies the requirements of section 30B(b)(3);
- Is manufactured primarily for use on public streets, roads, and highways;
- Had its final assembly within North America;
- Has a manufacturer's suggested retail price of not more than \$55,000 (\$80,000 for a van, SUV, or pickup truck); and
- Meets certain additional requirements discussed under [New Clean Vehicle Certification and Other Requirements](#), later.

New Clean Vehicle Certification and Other Requirements

Generally, for new clean vehicles (other than qualified fuel cell motor vehicles), the vehicle must have been manufactured by a qualified manufacturer. A qualified manufacturer is a manufacturer who has entered into a written agreement with the IRS under which the manufacturer agrees to make periodic written reports to the IRS providing vehicle identification numbers (VINs) and other information about their new clean vehicles. Information and certifications contained in these reports will help identify which vehicles qualify you for the new clean vehicle credit. Manufacturers of qualified fuel cell vehicles are also encouraged to file these reports.

Tip: Information about new clean vehicles reported by qualified manufacturers to the IRS is available at [Fueleconomy.gov/feg/tax2023.shtml](https://www.fueleconomy.gov/feg/tax2023.shtml).

The dealer/seller of a new clean vehicle (including a qualified fuel cell vehicle) must provide a report to you and the IRS providing information required to claim the credit, including the following.

- Your name and taxpayer identification number (TIN).
- The vehicle's VIN.
- The battery capacity of the vehicle.
- Verification that the original use of the vehicle begins with you.

- The maximum new clean vehicle credit allowable for the vehicle.
- Additional information is required if you transferred the credit to the dealer. See Regulations section 1.30D-5 for credit transfer rules.

The following additional requirements must be met to qualify you for the credit.

- You are the owner of the vehicle. If the vehicle is leased, only the lessor and not the lessee is entitled to the credit.
- You placed the vehicle in service during the tax year.
- The original use of the vehicle began with you.
- You acquired the vehicle for use or to lease to others and not for resale.

Caution: You cannot claim the clean vehicle credit for any vehicle acquired after September 30, 2025. For rules determining when a vehicle is considered acquired, see [Clean vehicles acquired after September 30, 2025](#), earlier.

- You use the vehicle primarily in the United States. If you use the vehicle primarily outside the United States, see section 168(g)(4) for a list of exceptions that may apply.
- Your modified adjusted gross income (AGI) for 2025 or 2026 is not more than \$150,000 (\$300,000 if married filing jointly or a qualifying surviving spouse; \$225,000 if head of household). Use Part I of Form 8936 to figure your modified AGI. For additional information, see [Part I](#) under Specific Instructions for Form 8936, later.

Credit transfer election. You elect to transfer the credit of a new clean vehicle after December 31, 2024, to an eligible entity (a registered dealer) in exchange for a financial benefit (that is, reduced final cost) from the eligible entity equal to the amount of the credit, whether in cash, in the form of a partial payment, or as a down payment for the purchase of such vehicle. The tax credit can be applied at the point of sale to reduce the cost of the purchase by the amount of the credit. You must report the transfer on your tax return and attach a Form 8936 and Schedule A (Form 8936) to reconcile the advance payment of the credit and your eligibility for the credit.

Eligible taxpayers who purchase an eligible vehicle may choose to wait and claim the tax credit on their return instead of transferring a new clean vehicle tax credit.

Caution: This election applies only to a vehicle that is eligible for the credit, which is a vehicle treated as acquired on or before September 30, 2025.

Basis reduction. You must reduce the basis of each vehicle by the amount entered on line 9 of Schedule A (Form 8936) for that vehicle if:

1. You claim the credit for that vehicle, or
2. You transferred the credit to the dealer at the time of sale for that vehicle.

Coordination with other credits. A vehicle that anyone has claimed for the new clean vehicle credit in Part II of Form 8936 cannot be used to claim the qualified commercial clean vehicle credit in Part V of Form 8936. If your vehicle qualifies for both credits, you may choose which of those credits to claim.

Repayment of credit. If you purchased a new clean vehicle from a registered dealer and reduced the amount

you paid at the time of sale by transferring the credit to the dealer and you no longer qualify for the credit when you file your tax return, you must repay the amount of the credit that you transferred to the dealer.

Recapture of credit. If the vehicle no longer qualifies for the credit, you may have to recapture part or all of the credit. See Regulations section 1.30D-4.

More information. For details, see the following.

- Section 30D.
- [IRS.gov/CleanVehicles](https://www.irs.gov/CleanVehicles).

Previously Owned Clean Vehicle Credit

Use Parts I and IV of Form 8936 to claim the credit for previously owned clean vehicles. The credit is equal to the lesser of \$4,000 or 30% of the sales price of a previously owned clean vehicle you acquired and placed in service during your tax year.

Use Parts I and IV of Schedule A (Form 8936) to figure the previously owned clean vehicle credit amount.

Previously owned clean vehicle defined. This is a previously owned vehicle with at least four wheels that you acquired and placed in service after 2022 that:

- Has a model year that is at least 2 years earlier than the calendar year in which you acquire the vehicle;
- Had its original use begin with a person other than you;
- Has a sales price that does not exceed \$25,000;
- Was purchased from a dealer and was the first transfer since August 16, 2022, to an individual eligible to claim the credit;
- Is propelled to a significant extent by an electric motor that draws electricity from a battery that has a capacity of not less than 7 kilowatt hours and is capable of being recharged from an external source of electricity;
- Is manufactured primarily for use on public streets, roads, and highways;
- Has a gross vehicle weight rating (GVWR) of less than 14,000 pounds; and
- Meets certain additional requirements discussed under [Previously Owned Clean Vehicle Certification and Other Requirements](#), later.

Caution: You cannot claim the previously owned clean vehicle credit for any vehicle acquired after September 30, 2025. For rules determining when a vehicle is considered acquired, see [Clean vehicles acquired after September 30, 2025](#), earlier.

Certain previously owned qualified fuel cell motor vehicles (discussed next) may also be treated as previously owned clean vehicles.

Previously owned qualified fuel cell motor vehicle.

This is a previously owned vehicle with at least four wheels that you acquired and placed in service after 2022 that:

- Has a model year that is at least 2 years earlier than the calendar year in which you acquire the vehicle;
- Had its original use begin with a person other than you;
- Has a sales price that does not exceed \$25,000;
- Was purchased from a dealer and was the first transfer since August 16, 2022, to an individual eligible to claim the credit;

- Is propelled by power derived from one or more cells that convert chemical energy directly into electricity by combining oxygen with hydrogen fuel;
- Is manufactured primarily for use on public streets, roads, and highways;
- Has a GVWR of less than 14,000 pounds and satisfies the requirements of section 30B(b)(3); and
- Meets certain additional requirements discussed under [Previously Owned Clean Vehicle Certification and Other Requirements](#), later.

Previously Owned Clean Vehicle Certification and Other Requirements

Generally, for previously owned clean vehicles (other than qualified fuel cell motor vehicles), the vehicle must have been manufactured by a qualified manufacturer. A qualified manufacturer is a manufacturer who has entered into a written agreement with the IRS under which the manufacturer agrees to make periodic written reports to the IRS providing vehicle identification numbers (VINs) and other information about their previously owned clean vehicles. Information and certifications contained in these reports will help identify which vehicles qualify you for the previously owned clean vehicle credit. Manufacturers of qualified fuel cell vehicles are also encouraged to file these reports.

Tip: Information about previously owned clean vehicles reported by qualified manufacturers to the IRS is available at [Fueleconomy.gov/feg/taxused.shtml](https://www.fueleconomy.gov/feg/taxused.shtml).

The dealer/seller of a previously owned clean vehicle (including a qualified fuel cell vehicle) must provide a report to you and the IRS providing information required to claim the credit, including the following.

- Your name and taxpayer identification number (TIN).
- The vehicle's VIN.
- The battery capacity of the vehicle.
- The sales price.
- The maximum previously owned clean vehicle credit allowable for the vehicle.
- Additional information is required if you transferred the credit to the dealer. See Regulations section 1.25E-3 for credit transfer rules.

The following additional requirements must be met to qualify you for the credit.

- You are an individual.
- You are the owner of the vehicle. If the vehicle is leased, only the lessor and not the lessee is entitled to the credit.
- You placed the vehicle in service during the tax year.
- You acquired the vehicle for use and not for resale.

Caution: You cannot claim the previously owned clean vehicle credit for any vehicle acquired after September 30, 2025. For rules determining when a vehicle is considered acquired, see [Clean vehicles acquired after September 30, 2025](#), earlier.

- You can't be claimed as a dependent by another taxpayer.
- You have not claimed another previously owned clean vehicle credit in the 3 years before the purchase date.

- You use the vehicle primarily in the United States. If you use the vehicle primarily outside the United States, see section 168(g)(4) for a list of exceptions that may apply.
- Your modified adjusted gross income (AGI) for 2025 or 2026 is not more than \$75,000 (\$150,000 if married filing jointly or a qualifying surviving spouse; \$112,500 if head of household). Use Part I of Form 8936 to figure your modified AGI.

Credit transfer election. You elect to transfer the credit for a previously owned clean vehicle after December 31, 2024, to an eligible entity (a registered dealer) in exchange for a financial benefit (that is, reduced final cost) from the eligible entity equal to the amount of the credit, whether in cash, in the form of a partial payment, or as a down payment for the purchase of such vehicle. The tax credit can be applied at the point of sale to reduce the cost of the purchase by the amount of the credit. You must report the transfer on your tax return and attach a Form 8936 and Schedule A (Form 8936) to reconcile the advance payment of the credit and your eligibility for the credit.

Eligible taxpayers who purchase an eligible vehicle may choose to wait and claim the tax credit on their return instead of transferring a previously owned clean vehicle tax credit.

Caution: This election applies only to a vehicle that is eligible for the credit, which is a vehicle treated as acquired on or before September 30, 2025.

Basis reduction. You must reduce the basis of each vehicle by the amount entered on line 17 of Schedule A (Form 8936) for that vehicle if:

1. You claim the credit for that vehicle, or
2. You transferred the credit to the dealer at the time of sale for that vehicle.

Repayment of credit. If you purchased a previously owned clean vehicle from a registered dealer and reduced the amount you paid at the time of sale by transferring the credit to the dealer and you no longer qualify for the credit when you file your tax return, you must repay the amount of the credit that you transferred to the dealer.

Recapture of credit. If the vehicle no longer qualifies for the credit, you may have to recapture part or all of the credit. See Regulations sections 1.25E-2 and 1.30D-4.

More information. For details, see the following.

- Section 25E.
- [IRS.gov/CleanVehicles](https://www.irs.gov/CleanVehicles).

Qualified Commercial Clean Vehicle Credit

Use Part V of Form 8936 to claim the credit for qualified commercial clean vehicles. The credit is equal to the sum of the credit amounts figured for each qualified commercial clean vehicle you placed in service during your tax year.

Use Parts I and V of Schedule A (Form 8936) to figure the credit amount for each qualified commercial clean vehicle you placed in service during your tax year.

Caution: You cannot claim the qualified commercial clean vehicle credit for any vehicle acquired after September 30, 2025. For rules determining when a vehicle is considered acquired, see [Clean vehicles acquired after September 30, 2025](#), earlier.

Partnerships and S corporations must file this form to claim the credit. All other taxpayers are not required to complete or file this form if their only source for this credit is a partnership or S corporation. Instead, they can report this credit directly on line 1aa in Part III of Form 3800, General Business Credit.

Credit amount. Generally, the credit amount for each qualified commercial clean vehicle is equal to the lesser of:

- 15% of the basis of the vehicle (30% for a vehicle not powered by a gasoline or diesel internal combustion engine), or
- The incremental cost of the vehicle.

Incremental cost. The incremental cost of any qualified commercial clean vehicle is an amount equal to the excess of the purchase price for the vehicle over the price of a comparable vehicle. A comparable vehicle is a vehicle powered solely by a gasoline or diesel internal combustion engine and which is comparable in size and use to such vehicle.

2025 safe harbor. Notice 2025-9 provides a safe harbor regarding the incremental cost of certain qualified commercial clean vehicles (including qualified fuel cell motor vehicles) placed in service in calendar year 2025. The IRS will accept the use of \$7,500 as the incremental cost for all street vehicles (other than compact car plug-in hybrid electric vehicles (PHEVs)) with a gross vehicle weight rating (GVWR) of less than 14,000 pounds to figure the credit amount for vehicles placed in service during calendar year 2025. For compact car PHEVs and certain vehicles with a GVWR of 14,000 pounds or more, the IRS will accept the incremental cost for the appropriate vehicle class determined by the Department of Energy (DOE) [2025 Incremental Purchase Cost Methodology and Results for Clean Vehicles](#). For details, see Notice 2025-9, available at [IRS.gov/irb/2025-06_IRB#NOT-2025-9](https://www.irs.gov/irb/2025-06_IRB#NOT-2025-9).

Maximum per vehicle credit amount. The credit amount is limited to \$7,500 (\$40,000 for a vehicle with a GVWR of 14,000 pounds or more).

Qualified commercial clean vehicle. This is a vehicle acquired and placed in service after 2022 that:

- Is propelled to a significant extent by an electric motor that draws electricity from a battery that has a capacity of not less than 15 kilowatt hours (7 kilowatt hours for a vehicle with a GVWR of less than 14,000 pounds) and is capable of being recharged from an external source of electricity;
- Is either manufactured primarily for use on public streets, roads, and highways or is mobile machinery as defined in section 4053(8) (including vehicles that are not designed to perform a function of transporting a load over public highways);
- Is of a character subject to the allowance for depreciation (except for vehicles not subject to a lease placed in service by certain tax-exempt and governmental entities); and

- Meets certain additional requirements discussed under [Qualified Commercial Clean Vehicle Certification and Other Requirements](#), later.

Certain qualified fuel cell motor vehicles (discussed next) may also be treated as qualified commercial clean vehicles.

Qualified fuel cell motor vehicle. This is a vehicle acquired and placed in service after 2022 that:

- Is propelled by power derived from one or more cells that convert chemical energy directly into electricity by combining oxygen with hydrogen fuel;
- Is either manufactured primarily for use on public streets, roads, and highways, or is mobile machinery, as defined in section 4053(8) (including vehicles that are not designed to perform a function of transporting a load over public highways);
- Is of a character subject to the allowance for depreciation (except for vehicles not subject to a lease placed in service by certain tax-exempt and governmental entities); and
- Meets certain additional requirements discussed under [Qualified Commercial Clean Vehicle Certification and Other Requirements](#), later.

Tax-Exempt and Governmental Entities

Certain tax-exempt and governmental entities that generally don't benefit from income tax credits can elect to treat the qualified commercial clean vehicle credit as a payment of income tax. Resulting overpayments may result in refunds.

An applicable entity is defined as any of the following.

- An organization exempt from the tax imposed by subtitle A by reason of subchapter F of chapter 1 of subtitle A;
- The government of any U.S. territory or political subdivision or instrumentality thereof;
- Any state, the District of Columbia, or a political subdivision or instrumentality thereof;
- The Tennessee Valley Authority;
- An Indian tribal government or subdivision or instrumentality thereof;
- Any Alaska Native Corporation (as defined in section 3 of the Alaska Native Claims Settlement Act (43 U.S.C. 1602(m))); and
- Any corporation operating on a cooperative basis that is engaged in furnishing electric energy to persons in rural areas.

For details, see section 6417 and the related regulations.

Tax-exempt and governmental entities making the elective payment election for the qualified commercial clean vehicle credit must file the following.

- Schedule(s) A (Form 9936), Clean Vehicle Credit Amount.
- Form 9936, Clean Vehicle Credits.
- Form 990, General Business Credit.
- Form 990-T, Exempt Organization Business Income Tax Return, or other applicable income tax return.

The IRS has established a prefiling registration process that must be completed prior to electing payment

of the qualified commercial clean vehicle credit. To register, go to [IRS.gov/Credits-Deductions/Register-for-Selective-Payment-or-Transfer-of-Credits](https://www.irs.gov/Credits-Deductions/Register-for-Selective-Payment-or-Transfer-of-Credits). See Pub. 5884, Inflation Reduction Act (IRA) and CHIPS Act of 2022 (CHIPS) Pre-Filing Registration Tool, for more information. Also see *Registering for and Making Elective Payment and Transfer Elections* in the Instructions for Form 9936.

Qualified Commercial Clean Vehicle Certification and Other Requirements

Generally, for qualified commercial clean vehicles, the vehicle must have been manufactured by a qualified manufacturer. A qualified manufacturer is a manufacturer who has entered into a written agreement with the IRS under which the manufacturer agrees to make periodic written reports to the IRS providing vehicle identification numbers (VINs) and other information about their qualified commercial clean vehicles. Information and certifications contained in these reports will help identify which vehicles qualify you for the qualified commercial clean vehicle credit.

The following additional requirements must be met to qualify you for the credit.

- You are the owner of the vehicle. If the vehicle is leased, only the lessor and not the lessee is entitled to the credit.
- You placed the vehicle in service during the tax year.
- You acquired the vehicle for use or to lease to others and not for resale.

Caution: You cannot claim the qualified commercial clean vehicle credit for any vehicle acquired after September 30, 2025. For rules determining when a vehicle is considered acquired, see [Clean vehicles acquired after September 30, 2025](#), earlier.

- You use the vehicle primarily in the United States. If you use the vehicle primarily outside the United States, see section 168(g)(4) for a list of exceptions that may apply.

Basis reduction. You must reduce the basis of each vehicle by the amount entered on line 26 of Schedule A (Form 9936) for that vehicle if:

1. You claim the credit for that vehicle, or
2. You transferred the credit to the dealer at the time of sale for that vehicle.

Coordination with other credits. A vehicle that anyone has claimed for the new clean vehicle credit in Part II of Form 9936 cannot be used to claim the qualified commercial clean vehicle credit in Part V of Form 9936. If your vehicle qualifies for both credits, you may choose which of those credits to claim.

Recapture of credit. If the vehicle no longer qualifies for the credit, you may have to recapture part or all of the credit. For details, see Regulations sections 1.30D-4 and section 45W(d)(1).

More information. For details, see the following.

- Section 45W.
- [IRS.gov/CleanVehicles](https://www.irs.gov/CleanVehicles).

Specific Instructions for Form 8936

Part I—Modified Adjusted Gross Income (MAGI) Amount

Lines 1a and 3a

Enter your modified AGI for the current and prior tax year. For 2026, there is a limitation on the modified AGI. If there was a change from your filing status on your 2025 tax return, see [Special rule for change in filing status](#), later in this section.

There are specific instructions for estates and trusts. For additional information, see [Estates and trusts](#), later in this section.

Special rule for change in filing status. If your filing status changes between the preceding year and the current year, you may claim the new clean vehicle credit and previously owned clean vehicle credit if your modified AGI is less than or equal to the threshold applicable to your filing status for the preceding year or current year. Note that, except in the case of pass-through entities, the credit may be claimed on only one tax return (including on a joint return filed by two spouses) even if the vehicle is placed in service by multiple taxpayers.

For example, a newly married couple jointly purchases and places in service a new clean vehicle that qualifies for the credit and puts both of their names on the title. The couple files separate federal income tax returns by using the married filing separately filing status for the year they purchase the new clean vehicle. Because the spouses are filing two returns and not one joint return, only one spouse may claim the credit with respect to the new clean vehicle on that spouse's respective return and the other spouse may not claim any amount of the credit with respect to that new clean vehicle. The spouse that claims the credit must be the same spouse listed on the seller report. In the year that the spouses purchase the vehicle, the spouse listed on the seller report claims the credit with a modified AGI of \$200,000, which exceeds the threshold applicable to the current year for married filing separately filing status (\$150,000). But the spouse claiming the credit had a modified AGI in the prior year of \$140,000 and a filing status of single (\$150,000 threshold), so that spouse meets the modified AGI requirement to claim the credit.

Estates and trusts. An estate or nongrantor trust is treated as having modified adjusted gross income above the threshold amount for any year in which the estate or nongrantor trust is not in existence. Enter \$150,001 for any year the estate or nongrantor trust was not in existence. Otherwise, enter the amount from line 17 of Form 1041.

Grantor trusts. For a new clean vehicle placed in service by a grantor trust, the modified adjusted gross income limitation applies based on the modified adjusted gross income of the grantor or other deemed owner of the trust, and not the modified adjusted gross income of the trust or any beneficiary of the trust other than the grantor or other deemed owner.

Caution: The modified adjusted gross income limitation does not apply in the case of a new clean vehicle placed in service by a corporation or by a taxpayer that is not an individual, estate, trust, or entity.

If a new clean vehicle is placed in service by a partnership or an S corporation and the new clean vehicle credit is claimed by individuals who are direct or indirect partners of that partnership or shareholders of that S corporation, the modified AGI limitation applies to those partners or shareholders.

Part II—Credit for Business/Investment Use Part of New Clean Vehicles

Line 7

Enter the total new clean vehicle credits from:

- Schedule K-1 (Form 1065), Partner's Share of Income, Deductions, Credits, etc., box 15 (code AY); and
- Schedule K-1 (Form 1120-S), Shareholder's Share of Income, Deductions, Credits, etc., box 13 (code AY).

Partnerships and S corporations report the above credits on line 7. All other filers figuring a separate credit on line 6 also report the above credits on line 7. All others not using line 6 to figure a separate credit can report the above credits directly on Form 3800, Part III, line 1y.

Part III—Credit for Personal Use Part of New Clean Vehicles

Tip: A taxpayer claiming a credit amount for the personal use part of a new clean vehicle must fill out Part II even if they are not claiming a credit amount for business/investment use.

Line 11

Enter the total, if any, credits from Schedule 3 (Form 1040), lines 1 through 4, 6d, 6l, and 6m.

Line 13

If you cannot use part of the personal portion of the credit because of the tax liability limit, the unused credit is lost. The unused personal portion of the credit cannot be carried back or forward to other tax years.

Part IV—Credit for Previously Owned Clean Vehicles

Line 16

Enter the total, if any, credits from Schedule 3 (Form 1040), lines 1 through 4, 6d, and 6l.

Line 18

If you cannot use part of the credit because of the tax liability limit, the unused credit is lost. The unused credit cannot be carried back or forward to other tax years.

Part V—Credit for Qualified Commercial Clean Vehicles

Line 20

Enter the total qualified commercial clean vehicle credits from:

- Schedule K-1 (Form 1065), Partner's Share of Income, Deductions, Credits, etc., box 15 (code AZ); and
- Schedule K-1 (Form 1120-S), Shareholder's Share of Income, Deductions, Credits, etc., box 13 (code AZ).

Partnerships and S corporations report the above credits on line 20. All other filers reporting a separate credit on line 19 also report the above credits on line 20. All others not using line 19 to report a separate credit can report the above credits directly on Form 3800, Part III, line 1aa.

Specific Instructions for Schedule A (Form 8936)

Part I—Vehicle Details

Line 2

You must enter the vehicle's VIN on line 2. The VIN of a vehicle can be obtained from the registration, title, proof of insurance, or actual vehicle. Generally, the VIN is 17 characters made up of numbers and letters.

Line 3

The date the vehicle was placed in service is the date the taxpayer takes possession of the vehicle.

Line 4

Answer "Yes" if you made a credit transfer election and enter the amount of the credit transferred to the dealer at the time of sale. You can find this amount on the seller's report. If directed by line 8a, 8d, 13a, or 13c, you must report this amount on Schedule 2 (Form 1040), line 1b.

Line 5

See the definitions under [New Clean Vehicle Credit](#), earlier.

Tip: If your vehicle qualifies for this credit, as well as for the qualified commercial clean vehicle credit, you can choose which of those credits to claim.

Line 6

See the definitions under [Previously Owned Clean Vehicle Credit](#), earlier.

Line 7

See the definitions under [Qualified Commercial Clean Vehicle Credit](#), earlier.

Tip: If your vehicle qualifies for this credit as well as for the new clean vehicle credit, you can choose which of those credits to claim.

Part II—Credit Amount for Business/Investment Use Part of New Clean Vehicle

Lines 8c and 8d

For additional information, see [Part I](#) under *Specific Instructions for Form 8936*, earlier.

For additional information, see [Transfer of new clean vehicle credit](#), earlier.

Line 9

Tentative credit amounts for new clean vehicles are provided to the purchaser by the seller at the time the vehicle is sold and later forwarded to the IRS. Generally, this amount will be the maximum credit amount listed in the seller's report for the vehicle. See [New Clean Vehicle Certification and Other Requirements](#), earlier.

Line 10

Enter the percentage of business/investment use.

Enter 100% if the vehicle is used solely for business purposes.

If the vehicle is used for both business purposes and personal purposes, determine the percentage of business use by dividing the number of miles the vehicle was driven during the year for business purposes or for the production of income (not to include any commuting mileage) by the total number of miles the vehicle was driven for all purposes. Treat vehicles used by your employees as being used 100% for business/investment purposes if the value of personal use is included in the employees' gross income or the employees reimburse you for the personal use. If you report the amount of personal use of the vehicle in your employees' gross income and withhold the appropriate taxes, enter "100%" for the percentage of business/investment use.

If, during the tax year, you convert property used solely for personal purposes to business/investment use (or vice versa), figure the percentage of business/investment use only for the number of months you use the property in your business or for the production of income. Multiply that percentage by the number of months you use the property in your business or for the production of income and divide the result by 12. For example, if you converted a vehicle to 50% business use for the last 6 months of the year, you would enter 25% on line 10 (50% multiplied by 6 divided by 12).

For more information, see Pub. 463, Travel, Gift, and Car Expenses.

Part V—Credit Amount for Qualified Commercial Clean Vehicle

Line 18b

See the exception discussed in the vehicle definitions under [Qualified Commercial Clean Vehicle Credit](#), earlier.

Line 18d

A qualified commercial clean vehicle (including a new qualified fuel cell motor vehicle) is not required to be

powered in part solely by an electric motor to qualify for the credit. The vehicle may also be powered in part by a gasoline or diesel internal combustion engine. However, if it is also powered by a gas or diesel engine, the credit rate is reduced from 30% to 15%. For more information, see the vehicle definitions earlier.

Line 19

For a discussion of cost or other basis, see Pub. 551, Basis of Assets.

Line 20

Enter any section 179 expense deduction you claimed for the vehicle from Part I of Form 4562, Depreciation and Amortization.

Line 23

See [Incremental cost](#), earlier.

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The time needed to complete and file this form and related schedule will vary depending on individual circumstances. The estimated burden for individual and business taxpayers filing this form is approved under OMB control number 1545-0074 and 1545-0123 and is included in the estimates shown in the instructions for their individual and business income tax return. The estimated burden for all other taxpayers who file this form is shown below.

Recordkeeping	4 hr., 15 min.
Learning about the law or the form.	27 min.
Preparing and sending the form to the IRS	1 hr., 25 min.

If you have comments concerning the accuracy of these time estimates or suggestions for making this form and related schedule simpler, we would be happy to hear from you. See the instructions for the tax return with which this form is filed.